

## The Fed

### THE MOVER

*First hike since July 2023, and sixteen of eighteen officials want another*

## Bank Indonesia

### THE DEFENDER

*Third hold in a row, defending the rupiah with everything except the policy rate*

## The Market

### THE VERDICT

*A thirty-year Treasury at a twenty-two year high, and a record low rupiah*

# DOVISH OR HAWKISH?

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*One question. Eight policy episodes. 2018 to 2026.*

## MACRO RESEARCH / RATES, CURRENCY AND EQUITIES

# Dovish or Hawkish?

*How United States interest rates travel into Indonesian financial conditions, 2018 to 2026*

Research date: 24 September 2026 | Market data: close of 23 and 24 September 2026 | Sample: 2 January 2018 to 24 September 2026

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This report began as a question with no settled answer. For most of 2026 the Federal Reserve sat still while the rupiah fell to the weakest level ever recorded, which is the opposite of what the textbook spillover story predicts. On 16 September the Fed finally moved, and on 23 September Bank Indonesia gave its answer. That pair of decisions is the first clean test of the argument set out here, so this version is written around it.

**Table 1. The two decisions, and what the market did with them**

| Date         | Decision                                                                                            | Vote or stance                  | Market response                                                                    |
|--------------|-----------------------------------------------------------------------------------------------------|---------------------------------|------------------------------------------------------------------------------------|
| 16 September | Fed raises the target range to 3.75 to 4.00 per cent, the first increase since July 2023            | Unanimous, 12 to 0              | US 10-year yield back to 5 per cent; 16 of 18 officials see another hike this year |
| 23 September | Bank Indonesia holds the BI-Rate at 5.75 per cent for a third meeting and widens hedging incentives | Held, with a stabilisation bias | Jakarta Composite up 1.56 per cent; rupiah firmer at 17,795                        |
| 24 September | No policy event                                                                                     |                                 | Rupiah back to 17,916; US 30-year yield at 5.40 per cent, a 22-year high           |

Source: Federal Reserve, Bank Indonesia, CNBC, CNN, Antara, CNBC Indonesia, IDN Times. Prices as reported on the day.

## SUMMARY

The evidence from eight policy episodes does not support the simple version of the spillover story. The size of a Fed move tells you very little about the damage done in Jakarta. What the source of the move tells you is far more useful, and what domestic credibility tells you may now be the most useful of all.

- **The largest tightening cycle was the gentlest episode.** The Fed added 525 basis points across 2022 and 2023. The Jakarta Composite rose in both years. In 2026 the Fed added nothing at all until September, and the index fell 34.7 per cent by the end of June.
- **The source matters more than the size.** A hike driven by strong American growth is absorbed. A hike driven by an energy supply shock is not. The September increase belongs to the second kind, since it followed oil above US\$100 and core inflation that would not come down.
- **The long end has become the real channel.** The policy rate moved 25 basis points. The 10-year Treasury yield crossed 5 per cent for the first time since July 2007 and the 30-year reached 5.40 per cent. That is a term premium problem, and it prices Indonesian assets more directly than the funds rate does.
- **The portfolio channel has weakened while the currency channel has strengthened.** Foreign ownership of tradable government bonds fell from 39 per cent in January 2020 to 12.75 per cent in April 2026.

Less money can leave, so less does. The adjustment has moved to the exchange rate and to the central bank balance sheet instead.

- **Credibility at home now sets the risk premium.** Indonesia's five-year credit default swap rose from about 68 basis points in January to about 94 in August 2026 while the dollar index went nowhere. No global factor explains that.

The answer to the question in the title is that the label is the wrong thing to watch. Knowing whether the Fed is dovish or hawkish tells you the direction. Knowing why it is one or the other, what Indonesia's external accounts look like when the shock lands, and whether the market trusts the policy response tells you the size.

## WHAT THE PAST TWO WEEKS SETTLED

Bank Indonesia held at 5.75 per cent on 23 September, its third consecutive hold, in the first meeting chaired by Destry Damayanti as governor. The deposit facility stayed at 4.75 per cent and the lending facility at 6.50 per cent. She framed the decision as consistent with stabilising the rupiah under continued external pressure, with the inflation target of 2.5 per cent plus or minus 1 per cent for 2026 and 2027 intact. Rather than raise the policy rate to defend the currency, the bank widened its hedging incentives to pull foreign money in.

That choice was rewarded within hours. The Jakarta Composite rose 1.56 per cent to 6,374.91, recovering most of the 1.69 per cent fall of the previous session, and banks led the move. Foreign portfolio investment had already turned, with a net inflow of about US\$0.4 billion up to 21 September. Reserves at the end of August stood at US\$146.5 billion, or 5.49 months of imports.

**Figure 1. Eight years of the rupiah and the policy rate**



The Fed hike itself was almost a non-event for the rupiah. It moved 2.2 per cent across the fortnight, which is unremarkable next to the 8.7 per cent slide between January and June. What did move was the American long end, and that is the part worth watching. On 23 September the 10-year Treasury yield jumped more than 13 basis points to 5.104 per cent on strong activity surveys, hawkish Fed commentary and a poorly received five-year auction. Brent settled at US\$103.08 the same day.

## WHY THE SAMPLE RUNS FROM 2018 TO 2026

The window covers tightening before the pandemic, the collapse and rescue of 2020, the inflation of 2021, the aggressive cycle of 2022 and 2023, the plateau of 2024, the easing of 2024 and 2025, and the energy shock of 2026. One episode would have produced a tidy conclusion. Eight of them produce a more honest one, because the relationship changes shape as the underlying market changes.

The clearest structural change sits in the bond market. At the start of the sample foreigners held close to two fifths of tradable government paper. Today they hold about one eighth, while Bank Indonesia holds roughly a quarter. A shock that once arrived as a bond sell-off now arrives somewhere else.

## HOW A FED MOVE REACHES JAKARTA

**Table 2. Five channels, and what to watch in each**

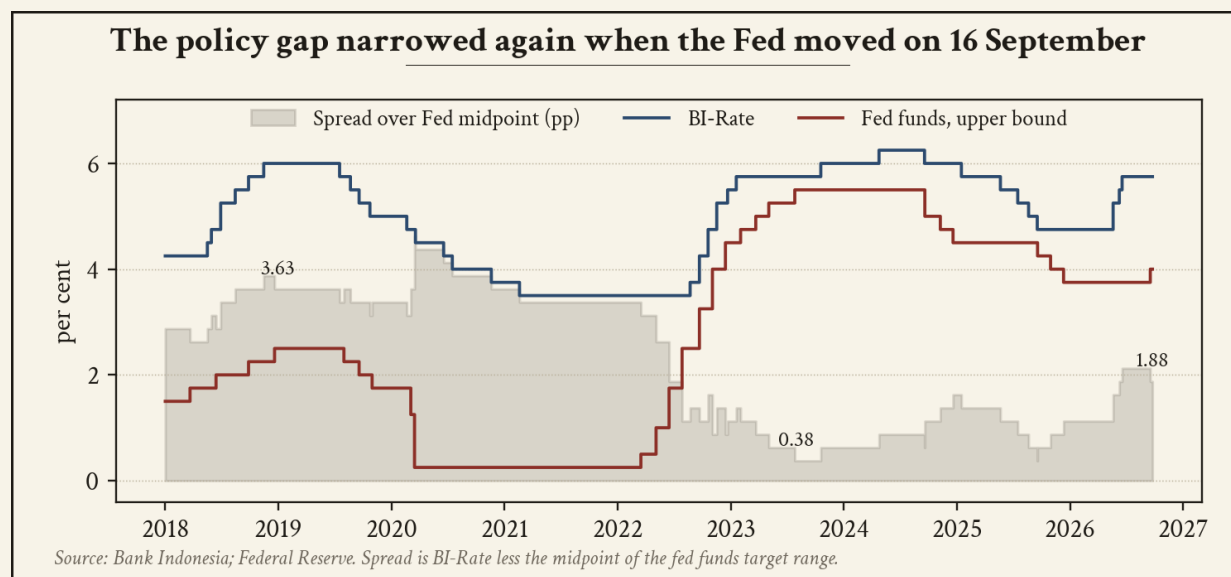
| Channel                          | How it works                                                                                  | What to watch                                                        |
|----------------------------------|-----------------------------------------------------------------------------------------------|----------------------------------------------------------------------|
| Rate differential                | The gap narrows, the carry becomes less attractive, and long rupiah positions are unwound     | BI-Rate against fed funds; carry against volatility                  |
| Treasury yields and term premium | Treasuries set the global risk-free rate, so every discount rate follows them                 | US 10-year and 30-year; spread of Indonesian 10-year over Treasuries |
| The dollar                       | A stronger dollar damages balance sheets that borrowed in it and tightens cross-border credit | Dollar index; onshore dollar funding                                 |
| Portfolio flows                  | Global investors rebalance, and they sell where selling is easy                               | Foreign flows in equities and bonds; foreign ownership share         |
| Risk appetite                    | Policy surprises raise volatility, which raises sovereign risk premia                         | Implied volatility; five-year credit default swap                    |

Source:

*author's framework, drawing on Bruno and Shin (2015) for the dollar channel and Eichengreen and Gupta (2015) for the flow channel.*

One distinction inside the second channel does most of the work in 2026. A Treasury yield can rise because the market expects higher policy rates, or because investors demand more compensation for holding long paper. The second kind is harder on emerging assets, and it is what the 30-year at 5.40 per cent is telling us.

**Figure 2. The policy gap, 2018 to 2026**



The spread between the BI-Rate and the midpoint of the fed funds range fell from 2.13 to 1.88 percentage points when the Fed moved. That is worth putting in context. The gap was 3.63 points at the end of 2018 and only 0.38 points in July 2023, and the rupiah was calm in 2023 and under heavy pressure in 2018. The differential on its own has never been a reliable guide.

## EIGHT EPISODES

**Table 3. What each episode did to the Fed, the rupiah and the market**

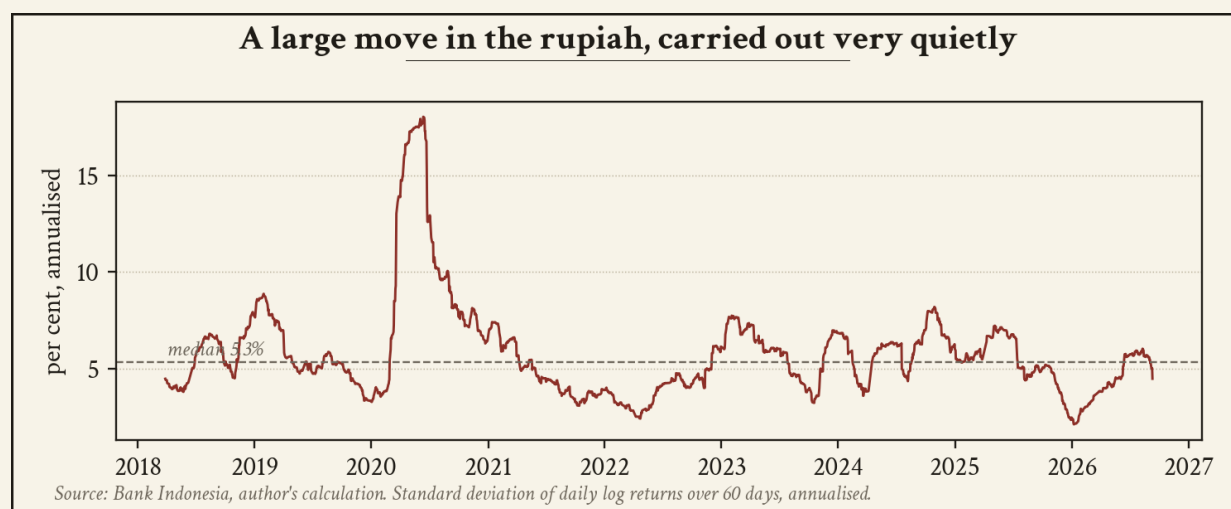
| Episode                  | Fed           | USD/IDR      | BI-Rate          | Jakarta       | Foreign share of bonds |
|--------------------------|---------------|--------------|------------------|---------------|------------------------|
| 2018 tightening          | +100 bp       | +14.8%       | +175 bp          | −2.5%         | 37 to 39%              |
| 2019 insurance cuts      | −75 bp        | stronger     | −100 bp          | +1.7%         | about 39%              |
| 2020 pandemic            | −150 bp       | +23.0%       | −125 bp          | −5.1%         | 39 to 25%              |
| 2021 taper signal        | 0 bp          | flat         | −25 bp           | +10.1%        | about 19%              |
| 2022 to 2023 tightening  | +525 bp       | +10.3%       | +225 bp          | +4.1%, +6.2%  | 14 to 15%              |
| 2024 higher for longer   | −100 bp       | +6.4%        | +25, then −25 bp | −2.7%         | about 14%              |
| 2025 easing              | −75 bp        | +4.8%        | −150 bp          | +22.1%        | 13 to 14%              |
| <b>2026 energy shock</b> | <b>+25 bp</b> | <b>+7.2%</b> | <b>+100 bp</b>   | <b>−26.3%</b> | <b>12.75%</b>          |

Source: Federal Reserve, Bank Indonesia, Indonesia Stock Exchange, Directorate General of Budget Financing and Risk Management. Currency changes are peak to trough within the episode except 2026, which runs from the end of 2025 to 24 September. Jakarta figures are calendar year returns except 2026, which is year to date. Ownership shares for the earlier years are drawn from reported ministry data.

Read down the first column and then the last two. There is no line you could draw through those points. The heaviest tightening produced two positive years for Indonesian equities. The lightest produced the worst.

Three things explain the 2022 result. Russia's war lifted the commodities Indonesia sells, which gave the country a trade surplus to offset the outflows. Foreign ownership of bonds had already collapsed, so the usual transmission belt was missing. And the early part of that cycle was a response to a strong American economy, which is the benign kind of tightening.

The 2026 result inverts all three. The energy shock raised the price of what Indonesia buys rather than what it sells. Domestic credibility was already in question after January. And the tightening, when it came, was a response to inflation the Fed could not look through.

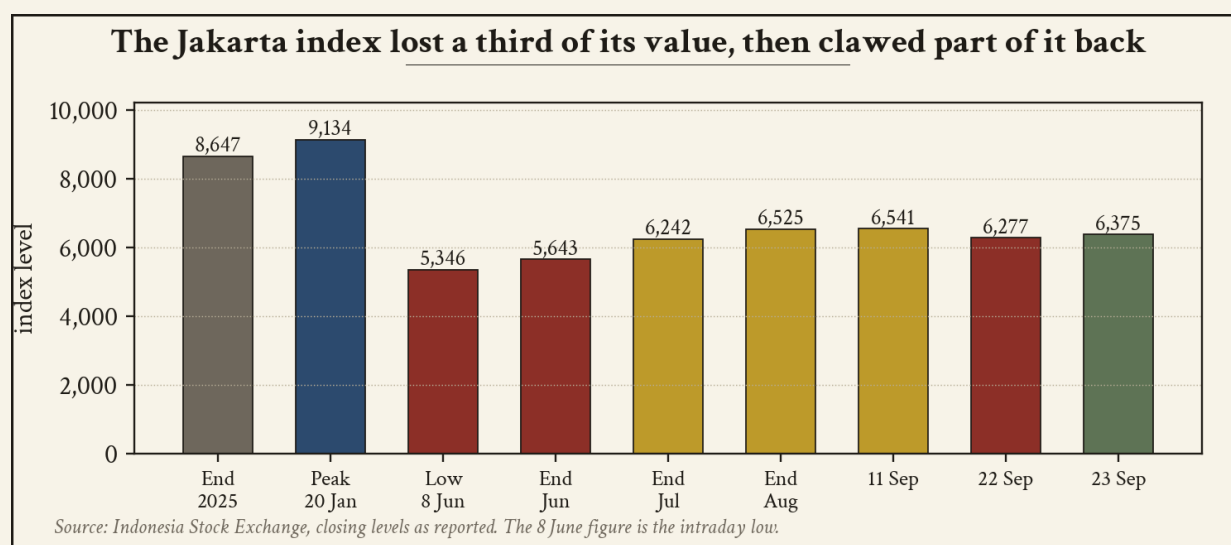
**Figure 3. Realised volatility of the rupiah**

The volatility record is worth a moment. The rupiah lost 8.7 per cent between January and June, yet 60-day realised volatility never passed 6 per cent, close to its long-run median of 5.3 per cent. A large directional move delivered with almost no noise is the signature of a managed float. Bank Indonesia smoothed the path without fighting the direction, which is a defensible strategy and an expensive one.

## WHAT THE PRESSURE COST

Reserves fell from US\$156.5 billion in December 2025 to US\$144.9 billion in May 2026 before recovering to US\$146.5 billion in August. The five-year credit default swap went from about 68 basis points to about 94. The policy rate went up 100 basis points in 31 days, including an unscheduled meeting on 9 June that the consensus had not expected. The peak in the rupiah came on 8 June, the day before that meeting.

That sequence repeats the pattern of 2018, when a run of consecutive increases turned the trend only once the pace surprised the market. Gradual moves that are already priced do not mark turning points. Moves that are not priced do.

**Figure 4. The Jakarta Composite through 2026**

## WHERE THINGS STAND

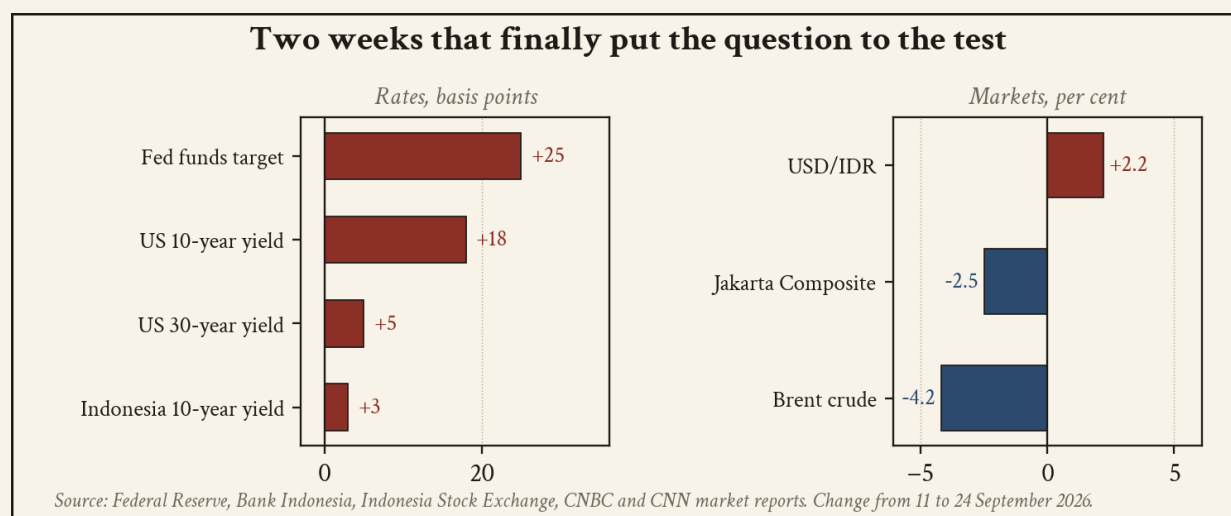
**Table 4. The board as it stands, 24 September 2026**

| Indicator               | Level                | Context                                                    |
|-------------------------|----------------------|------------------------------------------------------------|
| Fed funds target        | 3.75 to 4.00%        | Raised 25 bp on 16 September, first hike since July 2023   |
| Fed guidance            | 4.1% median for 2026 | 16 of 18 officials expect at least one more hike this year |
| US 10-year yield        | about 5.10%          | Highest since July 2007, up 18 bp in two weeks             |
| US 30-year yield        | 5.40%                | Highest in 22 years                                        |
| Brent                   | US\$103.08           | Settled up 3.86% on 23 September                           |
| BI-Rate                 | 5.75%                | Held for a third meeting on 23 September                   |
| Policy spread           | 1.88 points          | Down from 2.13 before the Fed moved                        |
| USD/IDR                 | 17,916               | Weaker by 0.55% on 24 September                            |
| Indonesia 10-year yield | about 7.16%          | Spread over Treasuries now near 205 bp                     |
| Jakarta Composite       | 6,374.91             | Down about 26% year to date                                |
| Foreign portfolio flows | net inflow US\$0.4bn | Year to 21 September, on Bank Indonesia's measure          |
| Reserves                | US\$146.5 billion    | 5.49 months of imports at the end of August                |

Source:

Federal Reserve, Bank Indonesia, Indonesia Stock Exchange, CNBC, CNN, Tickmill, Antara. Yield levels are as reported in market coverage and are indicative rather than official closing marks.

**Figure 5. What changed between 11 and 24 September**



The Indonesian 10-year barely moved while the Treasury 10-year added 18 basis points. The spread between them has compressed to roughly 205 basis points, against 450 to 750 basis points in the 2018 to 2021 period. For a foreign investor who hedges the currency, there is not much left in that carry. The stability of the local bond market now rests on domestic buyers and on the central bank rather than on foreign demand.

## WHAT COMES NEXT

**Table 5. Two paths, and what sits behind each**

|                   | Follow-through, about 65%                                                                                     | Pause, about 35%                                                                 |         |
|-------------------|---------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------|---------|
| Trigger           | Oil holds near US\$100 and core inflation stays sticky, so the Fed hikes again in October or December         | Iran talks progress, oil falls back toward the eighties and the Fed stops at one |         |
| Fed funds         | 4.00 to 4.25% by year end                                                                                     | 3.75 to 4.00% held                                                               |         |
| US 10-year        | 5.2 to 5.5%                                                                                                   | 4.6 to 4.9%                                                                      | Source: |
| Rupiah            | 18,000 to 18,400                                                                                              | 17,400 to 17,800                                                                 |         |
| Indonesia 10-year | 7.4 to 7.8%                                                                                                   | 6.9 to 7.2%                                                                      |         |
| Bank Indonesia    | Holds at 5.75% and leans on intervention and hedging incentives, with a hike only if the rupiah breaks 18,400 | Room to consider easing returns in early 2027                                    |         |

author's estimates. The weights are judgement, not a model. Ranges are indicative.

The dot plot is the main evidence for the first column. Sixteen of eighteen participants expect at least one further increase this year, and the median expectation for the end of 2026 moved up to 4.1 per cent from 3.8 per cent in June. Only eight see another increase in 2027, so this looks like a short campaign rather than a long one.

The main evidence for the second column is the oil market. Brent fell for five straight sessions into 22 September on signs of progress in American and Iranian talks before rebounding. Since the whole inflation problem traces back to energy, a durable fall in crude would do more for Indonesia than anything the Fed decides.

### The calendar

**Table 6. Dates that matter**

| When             | What                                                                             |         |
|------------------|----------------------------------------------------------------------------------|---------|
| Early October    | Indonesian inflation for September, and the September reserves figure            |         |
| Mid October      | American inflation for September, the first full read on the energy pass-through |         |
| 20 to 21 October | Bank Indonesia policy meeting, with the quarterly assessment                     | Source: |
| 27 to 28 October | Federal Open Market Committee, where the follow-up hike would land               |         |
| Early November   | Indonesian third-quarter growth                                                  |         |
| 8 to 9 December  | Federal Open Market Committee, the last meeting of the year                      |         |

Bank Indonesia 2026 meeting schedule; Federal Reserve calendar; Statistics Indonesia release pattern. Dates for statistical releases follow the usual pattern and are not confirmed.

## WHAT FOLLOWS FROM THIS

- **The policy mix works, and it is not free.** Intervention, hedging incentives and the rate itself held realised volatility near its long-run median through a 9 per cent move. The bill came in reserves and in the concentration of government paper on the central bank balance sheet.
- **There is a limit to how far the balance sheet can carry this.** Once the central bank holds about a quarter of tradable bonds, the market stops asking whether stabilisation is possible and starts asking about governance. A clear and public limit would lower the risk premium without spending a dollar of reserves.
- **Surprise beats gradualism when the currency is the target.** Both 2018 and 2026 turned on decisions the market had not priced.

- **Watch the long end, not the policy rate.** A 25 basis point move produced almost no reaction in Jakarta. An 18 basis point move in the 10-year Treasury, on top of a 30-year at a 22-year high, is the thing repricing Indonesian assets.
- **For anyone following this market, the useful dashboard is short.** Brent, the American 10-year and 30-year, the five-year credit default swap, and the carry available in the rupiah against its volatility. The fed funds rate belongs near the bottom of that list.

## DATA, METHOD AND LIMITS

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Daily JISDOR observations from 2 January 2018 cover 2,097 trading days. Policy rate history covers 106 decisions from 18 January 2018 to 23 September 2026. Both come from Bank Indonesia. Federal Reserve history is built from Federal Open Market Committee decisions, effective the following day. Realised volatility is the standard deviation of daily log returns over 60 sessions, annualised by the square root of 250. The policy spread is the BI-Rate less the midpoint of the fed funds target range.

Three limits are worth stating. The analysis is descriptive rather than estimated, so nothing here identifies causation, and global shocks move American and Indonesian variables at the same time. Several market levels come from financial media rather than official closing files and are marked as indicative. And the transmission parameters are not stable across the sample, since the ownership structure of the bond market changed completely inside it, which means a single regression coefficient fitted to the whole period would mislead.

A natural extension is a daily regression in first differences with Newey-West standard errors, combined with an event study around Federal Open Market Committee dates that separates growth surprises from policy surprises in the manner of Hoek, Kamin and Yoldas (2022). Because Jakarta closes before the Fed announces, the Indonesian response has to be measured on the following session.

## SOURCES

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